



Confidential Instructions for the Harborco Negotiator (from the Harborco Board of Directors)

This is obviously a very important project to us. It has tremendous profit potential, particularly if we can obtain approval on our current license application. Yet, the project also has the potential to generate significant economic benefits for Seaborne, the region, and the entire nation.

In our minds, the public benefits of a deepwater port are so obvious that we are surprised the FLA is hedging on our application. Unfortunately, politics forces us to negotiate with parties who have no business interfering in our business. The application we have recently submitted to the FLA describes the most attractive project possible. We obviously want to protect it by keeping our costs low and by securing substantial federal assistance.

Scoring. In order to help you plan your negotiating strategy, we have constructed a 110-point "scoring" scheme to illustrate which negotiable issues are of greatest and least importance to us. Under this scheme, you can score up to 110 points during the negotiation, depending upon how each of the five issues is resolved (plus a unanimity bonus). The most preferred set of outcomes is worth 110 points to us; the least preferred is worth 0 points. Compromising on one or more issues will earn somewhere between 0 and 110 points.

The use of "points" may seem artificial and abstract. But for the purposes of this negotiation, it enables us to combine our several interests -- low costs, freedom from unions, federal support, etc. -- into a single "currency." This, in turn allows us to compare the gains and losses associated with different issues.

In addition, the use of "points" to summarize our interests allows us to compare the value of negotiated agreements to our other alternatives. For example, we should pursue this particular project only if we can secure an agreement worth at least 55 points to us (excluding any bonus for a unanimous agreement). Any agreement worth fewer than 55 points would not be worth pursuing; we would be better off pursuing alternative investment opportunities (such as the new international airport being considered for the Pacific Northwest).

Your task is to try to earn as many points as possible in this negotiation. This is not being greedy -- it simply means that we want to further our legitimate interests as far as possible. We



will support any agreement that yields us at least 55 points of "value," but that is the bare minimum we can accept. We certainly hope you will do much better.

Federal Loan. This is by far the most important issue to us. Up until a few months ago, we thought the DCR would be more than happy to help finance a deepwater port on the East Coast. DCR officials had initially hinted that they would consider underwriting 75% of our costs (or \$3 billion).

Since then, the DCR has downplayed their original enthusiasm and has hinted that it will not provide financial support unless certain conditions are met. Unfortunately, we do not yet know what these conditions are.

We have requested a \$3 billion loan (at an interest rate of 10%) which will secure the investments of our consortium members, increase our ability to attract other investors, and ensure the long-run success of the project. (The federal government is unlikely to abandon a project in which it has invested billions of dollars.)

At present, we have firm commitments from private investors, which should generate at least \$1 billion for the project. And if pressed we could probably muster \$2 billion should DCR offer us only \$2 billion in loans.

But should DCR try to offer us less than \$2 billion, we could be in serious trouble. There are not enough private investors currently interested in contributing to our project. If forced to raise \$3 billion, we would be faced with the prospect of trying to borrow the third billion at exorbitant rates, probably equivalent to twice the market rate of interest. We might be able to continue with the project, but only by curtailing certain amenities.

If we received no federal financial assistance, the project would be in very serious jeopardy. Though in theory we might still be able to muster the \$4 billion to move ahead, we could not afford to concede on any issues up for discussion today. Consequently, we would probably not have enough political support to win FLA approval.

We have therefore assigned the following points to this issue:

- * \$3 billion guaranteed loan = 35 points
- * \$2 billion guaranteed loan = 29 points
- * \$1 billion guaranteed loan = 20 points
- * No loan = 0 points

The distribution of points reflects our belief that the first and second billion dollars are far more important than the third billion.

Compensation to Other Ports. We are obviously opposed to paying compensation to other



ports. These four other ports have submitted wildly unreasonable estimates of their anticipated losses. They claim they will lose roughly \$600 million after our port begins operating, but it is not at all clear to us that they will be hurt by our project. Though some of their traffic may be diverted to our new port, they, in turn, will attract new traffic as "feeder ports." We are also afraid that a dangerous precedent could be set if we agree to compensate our "competitors." Will we eventually have to compensate every party who loses some business to us?

Given the cost of actual compensation payments and the dangerous precedent potential surrounding such an arrangement, we have assigned the following range of points to the options under this issue:

* No compensation	=	23 points
* \$150 million compensation	=	15 points
* \$300 million compensation	=	10 points
* \$450 million compensation	=	5 points
* \$600 million compensation	=	0 points

Employment Rules (Distribution of Jobs). We had hoped to be free to hire the best people for the construction and operation of the port. We had also hoped to keep the unions out of the port for at least a few years so that we could install labor-saving technology into the port (technology that the unions are sure to oppose). Apparently, the unions want us to guarantee all new jobs to union workers.

We have assigned the following points to this issue:

* no union preference	=	17 points
* union quota of 1:1	=	10 points
* union quota of 2:1	=	5 points
* unlimited union preference	=	0 points

The point schedule reflects, in part, anticipated increases in wage costs associated with different levels of union preference. In addition, it reflects our fear that any union preference is dangerous, because once unions are allowed on-site, they will block our attempts to introduce labor-saving techniques (such as large-scale containerization) into the port.

Industry Mix. This is a difficult issue for us to analyze. We are not arguing for any fixed combination of industries over another; rather, we are arguing for the freedom to develop any combination of industries we choose. Under this scenario, we could develop those industries most likely to generate revenues for the region, those most likely to resist fluctuations in the economy and those most likely to benefit from access to a deepwater port.



The environmentalists, however, would have us limit our industry mix to a narrow base of "all clean" industries. This would prevent us from pursuing the most profitable industry mixes, and could make the local economy highly susceptible to fluctuations in the business cycle. Though there is a tremendous uncertainty in these forecasts, our analysts suggest we could forgo roughly \$200-375 million in potential profits if forced to limit our mix.

We have therefore assigned the following points to each of the industry mix options up for discussion:

- * primarily dirty = 14 points
- * clean/dirty = 8 points
- * all clean = 0 points

We've assigned the middle option, "clean/dirty," slightly more than half the points possible because it would enable us to include a highly profitable resource recovery plant.

Ecological Impact. Common sense suggests that anytime you build anything, you are probably going to disrupt the ecology. We have tried to be sensitive to environmental concerns by planning construction and dredging so as to avoid unnecessary disruption. We have also been sensitive to existing federal and state standards. We do not propose to break the law.

Losing this issue could cost us a significant amount of money, since it could force us to alter our dredging and construction plans in very costly ways. Furthermore, the environmentalists' "wish list" could cost us up to \$280 million if we do all they ask to improve the ecological setting.

In addition to the monetary concerns, we have some ideological feelings about this issue. Environmentalists are asking us to foot the bill for "improvements" which are properly the responsibility of government, not business.

In light of these concerns, we have assigned the following points to this issue:

- * some harm = 11 points
- * maintain/repair = 7 points
- * improve = 0 points

The points reflect the fact that the improvements would be more than twice as costly as maintaining and repairing the ecological setting.

Unanimity Bonus. It has been rumored that certain parties might take legal action against the deepwater port if the FLA accepts a proposal that they did not support. This would lead to aggravating delays and potentially exorbitant legal fees. The only way to eliminate the possibility



of such suits would be to pass an agreement that is supported by all five other parties. That is, the FLA will agree to a proposal which four of the five parties support, but the proposal would obviously be much more stable if it is supported by all five other parties.

With Harborco's interest in a successful port in mind, the following bonus points have been assigned to this issue:

- * All five other parties agree to the terms of the port = 10 points
- * Four of the five other parties agree = 0 points
- * No agreement is reached = 0 points

This bonus does not count, however, toward the minimum 55 points Harborco needs to accept the substance of any proposal.

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A one-page scoring sheet has been attached which summarizes the points we have assigned to each of the five issues. This information is CONFIDENTIAL!! You should not show your scoring sheet to anyone! You may, however, discuss information from your scoring sheet with whomever you wish.

Good luck. We are confident that you will negotiate an extremely valuable agreement for us.



**Confidential Score Sheet for
HARBORCO**

Issue/Option	Total Points	1st vote	2nd vote	3rd vote
A: Industry Mix	(14)	_____	_____	_____
1. primarily dirty	14			
2. clean/dirty	8			
3. all clean	0			
B: Ecological Impact	(11)	_____	_____	_____
1. harm	11			
2. maintain & repair	7			
3. improve	0			
C: Employment Rules/ Distribution	(17)	_____	_____	_____
1. unlimited union preference	0			
2. union quota 2:1	5			
3. union quota 1:1	10			
4. no union preference	17			
D: Federal Loan	(35)	_____	_____	_____
1. \$3 billion	35			
2. \$2 billion	29			
3. \$1 billion	20			
4. no federal loan	0			
E: Compensation to Other Ports	(23)	_____	_____	_____
1. Harborco pays \$600 million	0			
2. Harborco pays \$450 million	5			
3. Harborco pays \$300 million	10			
4. Harborco pays \$150 million	15			
5. Harborco pays no compensation	23			
A through E: TOTAL	(100)	_____	_____	_____
MINIMUM NEEDED FOR AGREEMENT = 55. This is also your score if no agreement is reached.				
UNANIMITY BONUS	(10)	_____	_____	_____
TOTAL POSSIBLE POINTS	(110)	_____	_____	_____